



KALYANI

BHARAT FORGE LIMITED

FOCUS
SUSTAINABILITY

BHARAT FORGE: LEADING THE ESG CONVERSATION IN INDIA'S MANUFACTURING INDUSTRY



In today's business landscape, companies are increasingly recognizing the significance of environmental, social, and governance (ESG) practices. Bharat Forge, a prominent player in India's manufacturing industry, has emerged as a leader in prioritizing ESG initiatives and driving sustainable business practices. With a holistic approach to ESG, the Company is actively contributing to a healthier planet and setting new benchmarks for long-term success under their PLANET POSITIVE initiative.

Renewable Energy as the prime source: Bharat Forge places environmental stewardship at the forefront of its ESG commitment. By 2030, the company aims to achieve 80% renewable energy consumption, demonstrating its transition towards cleaner and sustainable energy sources. Additionally, the Company strives for a 60% reduction in energy intensity to demonstrate their commitment towards resource efficiency.

Water management: The company has a steadfast focus on water conservation, aiming for a 40% reduction in freshwater consumption and enhancing the recycled water to 60% by 2030. Aspiring to become water positive, Bharat Forge showcases its determination to safeguard this invaluable resource for future generations.

Waste Management and Circular Economy: Management of waste by 3R (reduce, reuse and recycle) principle to reduce the environmental footprint is of paramount focus for Bharat Forge. The company has set an ambitious target of zero waste to landfill by 2030. Bharat Forge aims to achieve a 50% reduction in waste intensity and increase the use of secondary raw materials by 50% by 2030. These initiatives reflect the company's commitment towards responsible production and resource optimization.

Employee Well-being and Engagement: Bharat Forge prioritizes employee well-being and engagement, making it an employee-friendly organization that continuously strives to unlock the potential of its workforce. The company fosters a positive and inclusive work environment, creating opportunities for employees to learn new skills and upgrade themselves. Talent development programs are conducted through collaborations with multiple educational institutions, to nurture the growth of the employees.

With a strong focus on employee engagement, Bharat Forge sets a target of achieving a score of more than 75% in employee engagement to ensure that its workforce is engaged, motivated, and empowered to contribute their best. Recognizing the importance of health and safety of employees, the company aims to achieve a reduction of 75% in the lost time incidents frequency rate (LTIFR). This commitment underscores Bharat Forge's dedication to creating a safe and secure work environment for its employees, promoting their overall well-being.

Gender Equality, Diversity, and Supply Chain Engagement: Promoting gender equality and diversity is a key focus for Bharat Forge. The company aspires to have 20% women in managerial and leadership positions, actively working towards gender balance and equal opportunities for career growth. Bharat Forge also encourages



ESG practices among its suppliers and aims for 50% renewable energy use by its top suppliers. By fostering a diverse and inclusive ecosystem, the company aims to drive positive change within and beyond its operations.

Community Impact and Education: Recognizing its role as a corporate citizen, Bharat Forge undertakes initiatives to positively impact local communities. The company plans to create 100 green villages by 2030, contributing to sustainable development in rural areas. Additionally, by planting 1 million saplings by 2030, Bharat Forge aims to combat deforestation, promote biodiversity conservation and contribute in reducing GHG emissions. The company also invests in education and skill development, empowering future generations through quality education and vocational training.

Governance and Ethics: Governance forms the cornerstone of Bharat Forge's ESG strategy. The company is fully committed to maintaining the highest standards of governance, ensuring transparency, accountability, and ethical conduct throughout its operations. With a target of 100% compliance with ESG practices, Bharat Forge emphasizes data privacy management, robust business ethics policies, and employee training on business ethics.

In total, Bharat Forge's comprehensive ESG commitments align with 11 out of the 17 United Nations Sustainable Development Goals (SDGs), showcasing its holistic approach to sustainability. By setting ambitious targets and actively pursuing ESG initiatives, Bharat Forge is leading the way in sustainable business practices. The company's dedication to environmental protection, social progress, and effective governance not only contributes to a better world but also strengthens its position as a trusted and responsible global leader in the manufacturing industry.